On the policy side, there was a rough idea that there should be less state intervention, and that light-touch economic regulation should be done by a new breed of economic regulators. This has worked out unsatisfactorily. The executive powers of regulators, in licensing and enforcement, constitute a new level of intrusive control, of a kind which was not present before 1991. The new regulators are often the new central planners. As was seen prior to 1991, central planning has induced stagnation.

Addressing these problems requires going to the foundations. Why do we require state intervention? Why is state capacity low? How should state organizations be constructed so as to cater to a gradual improvement of state capacity? What is the right approach to public policy when state capacity is low? These are the most important questions of Indian economics today.

Economic thinkers of the previous decades tended to focus on economics more narrowly, on issues such as the green revolution or heavy industry or trade liberalization. In finding the Mark 3 framework, we need to more explicitly locate ourselves in the intersection of politics and the economy. To make sustained economic growth possible, we require the republic.

The founding energy of liberal democracy is the pursuit of freedom, of people being masters of their own fate. There is a need to recognize how well many things work without government intervention. We need to shift away from notions of a developmental state, where big initiatives originate from the government, towards a philosophy of respect for the self-organizing system that is a free society. We need to rely far more on private negotiations, private contracts, and civil society solutions, rather than turning to the government to solve problems. The state should be the last resort in resolving difficulties, not the first.

The toolkit of four kinds of market failure, drawn from public economics, helps identify the areas where there is a case for state intervention. Public choice theory steers us away from optimism about the state, and shows us the root cause of low state capacity. The state is not a benevolent actor, it is formed of self-interested persons. Individuals and state agencies crave